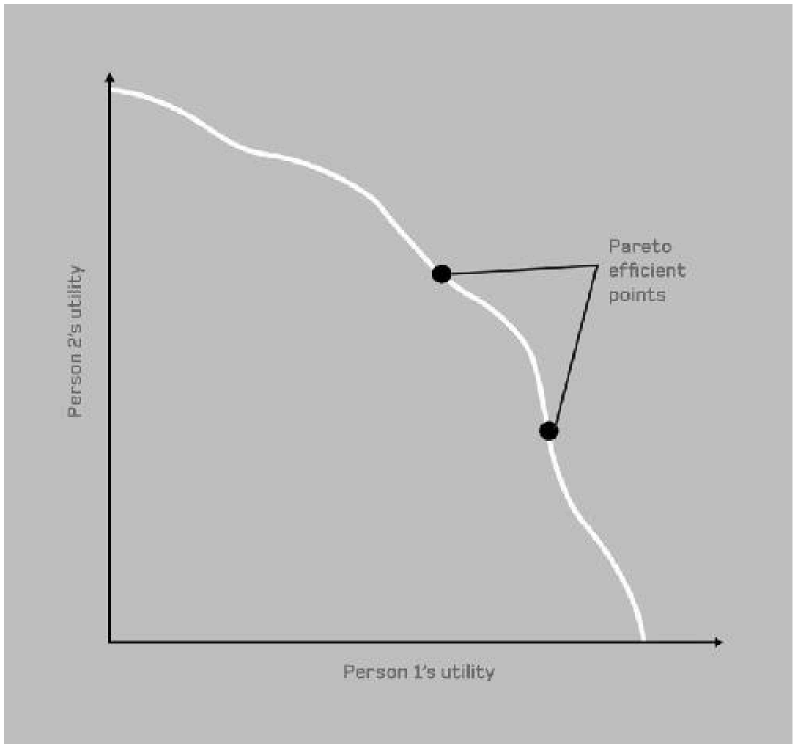
Pareto efficiency

Economists want to do more than just explain economic outcomes: they also want to assess how desirable they are. The standard they apply is Pareto efficiency, named after the Italian economist who devised the concept.

Suppose Tom has two packets of crisps and two packets of sweets. He likes crisps, but is indifferent to sweets. Jane has two packets of crisps, and likes both crisps and sweets. If Tom gave Jane the sweets, she would be better off and he would not be worse off: this would be a Pareto improvement. The original allocation of goods was ‘Pareto inefficient’ because they could be reallocated to make someone better off without hurting anyone else. When all such reallocations are made, society achieves Pareto efficiency, the state in which it is not possible to make anyone better off without hurting someone. Market exchange takes place when both buyer and seller stand to gain, and much of economics is concerned with uncovering the conditions in which free markets lead to Pareto efficiency.



From any point along the Pareto efficiency curve it is impossible to make one person better off without hurting the other.